

house on a hill, right in the middle of a winning school district and a charming neighborhood. They believe they are making a smart investment by finally breaking the renter's cycle. They throw their entire life savings at the painfully large down payment, but it doesn't stop there. The monthly mortgage payment sucks away a significant portion of each paycheck. With no cash left and an inability to save any more, they realize they walked right into a financial booby trap. They can't leave their job, start a business, move to Seattle, or travel the world like they always wanted.

Instead, they're stuck with their "smart investment" and all its broken toilets. That's the American dream, right?

Now, don't get us wrong. Buying a home really can be a smart investment that fast-tracks you to financial success, all while supporting a great quality of life. You can opt for a smaller home with a smaller mortgage and really rake in those tax benefits and long-term appreciation. You can even boogie your way into homeownership with the intention of turning your home into a *real* investment—that is, a rental property, a fix and flip, a basement Airbnb, or any other cash-generating asset. It's all about the things you know, the choices you make, and your willingness to see past the tempting house on a hill that exceeds your practical budget.

THE STANDARD AMERICAN HOME PURCHASE

We're passionate about the power of real estate to build long-term wealth—but only if you make smart decisions when you purchase. What do those smart decisions look like?

Let's kick things off with a breakdown of the standard American home purchase, in all its ordinary glory.

Alex and Shelby have been hopping from apartment to apartment, and they're sick of the endless rules, security deposits, and pet rent. After getting married and settling into their newly wedded bliss, they decide it's time to buy a house—hooray for freedom!

Collectively, they make \$85,000 per year and have \$40,000 in lifetime savings outside of their retirement accounts. While shopping around for their first home, they move into a sublet apartment with a lease that ends in three